Shopify

SHOP | Nasdaq Global Select Market (also TSX SHOP; US line selected) | 2026-10-07

Q4 2027 model ceiling: USD 60.65

Analytical Base 41/60 = 68 | Watchlist / Commerce infrastructure beneficiary

20x forward-four-quarter GAAP operating profit divided by quarter-end modeled diluted shares; positive OP allows same convention throughout. New company, no legacy valuation lock.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 164.44 on 2026-10-06 16:00 America/New_York. Model diluted shares at Q3 2026: 1,288.165m. Indicative diluted capitalization: USD 211,825.8m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	3,891.2	20x	1,283.165	60.65

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Probabilities have already been applied to the operating forecast; they are not applied again to the valuation.

Thesis

Shopify's useful position in AI commerce is the transaction infrastructure beneath the conversation. An agent can recommend a product or generate a storefront. Completing the order still requires dependable inventory, payment authorization, tax rules, buyer identity, returns and merchant relationships. Shopify already operates those systems at scale. If shopping moves into assistants, the interface can change while the merchant's operational record remains on Shopify.

The active **Q4 2027 ceiling is $60.65**, using **20x forward-four-quarter GAAP operating profit** and **1,283.16 million modeled diluted shares**. The profit window, Q4 2027 through Q3 2028, produces $3.891 billion of operating profit. The analytical Base is **68/100, Watchlist**. This is a strong operating business with a demanding valuation question: the model retains its profit methodology even when a higher market valuation implies more growth, a different profit definition or a richer multiple. Agent enthusiasm is not a reason to change the calculation to reach a preferred answer.

Two different revenue engines

Subscription solutions monetize software and associated services. Merchant solutions monetize the activity and services used by merchants, especially payments. Q2 revenue was $3.583 billion: $802 million subscription and $2.781 billion merchant solutions. Their gross profits were $639 million and $1.069 billion. Subscription gross margin was approximately 79.7%, compared with 38.4% for merchant solutions. Consolidated GAAP operating profit was $488 million after $498 million sales and marketing, $445 million R&D, $136 million administration and $141 million transaction and loan losses. [S1, S2, S8]

Greater payment adoption can increase revenue and profit dollars while lowering the consolidated gross-margin percentage. Q2 Shopify Payments volume was approximately $78.1 billion, representing about 68% of GMV. The model's merchant-revenue yield of roughly 2.4% of total GMV includes more than payments and is not the price charged on Shopify Payments volume. Applying that yield to GPV instead of GMV changes its meaning. [S3, S8]

Subscription has a different cost exposure. Management places merchant-serving AI costs such as Sidekick within subscription cost of revenue. AI can improve merchant onboarding and retention while increasing inference expense. The model allows subscription gross margin to moderate rather than assuming every new AI feature has software-like incremental profitability. Payments processing, fraud and credit costs are handled separately. [S4, S5]

The operational moat and its limits

A merchant that has accumulated inventory records, order history, discount logic, apps and employee workflows cannot migrate as easily as a user can change a chatbot. Shopify makes those pieces work across online, physical retail and B2B channels. Its developer ecosystem extends functionality without requiring Shopify to build every application. The Q1 and Q2 calls describe continued international growth, POS adoption and larger merchant migrations. These support a broader platform thesis, but do not justify adding an independent TAM for every product. [S4, S5]

Management's Q2 AI evidence is promising but narrow. AI-attributed traffic and orders tripled year over year, while new-buyer orders came at nearly twice the rate of other channels. Management also said agentic volume remained small relative to total GMV. Neither statistic establishes the absolute opportunity. A channel can grow quickly from a small base, with some purchasing simply moving from another interface. The October holiday material contains selected merchant cases and survey evidence; exceptional conversion results cannot be copied across the entire platform. [S5, S7]

Sidekick's evidence concerns merchant operations. Management reported 34 million conversations in Q2, rising custom-app creation and improved early merchant activation in a measured onboarding use case. Such tools can help merchants become productive sooner. AI also lowers the cost of building competing software. Open standards make connectivity easier for Shopify and its competitors, so interoperability is not exclusivity. [S5]

Competition and concentration

Shopify competes with integrated platforms and combinations of specialist software, payments, POS, marketplaces, logistics and finance providers. Some merchants want a managed stack; others retain their own technology and buy components. Large platforms can bundle services, control discovery or negotiate economics less attractive than the existing direct merchant relationship. The annual report identifies this fragmented competitive structure and third-party dependencies. [S6]

Diversification by merchant is favorable: the Q2 filing reports no individual merchant accounting for 10% or more of revenue or receivables. Geographic exposure remains concentrated. Based on merchant location, Q2 revenue was approximately 63% US, 5% Canada, 20% Europe, 10% APAC and 2% elsewhere. These are revenue locations, not consumer demand or profit shares. International growth requires local payments, compliance and support rather than a frictionless copy of North American economics. [S2]

Consumer spending, tariffs and merchant survival influence GMV and credit performance. Merchant diversification reduces single-customer risk but cannot eliminate correlated retail weakness. The analytical score recognizes distribution and switching costs without awarding a physical-scarcity premium.

A bounded agent-commerce contribution

The reference already includes merchant additions, same-store growth, payment adoption and AI-supported productivity. The incremental agent branch carries a **55% probability**. For 2027, conditional routed share is 3% of reference GMV versus 1% already embedded. Only 35% of the difference is treated as truly new commerce, with a further 25% overlap adjustment removing demand supported by existing cohort assumptions.

Incremental GMV earns the current merchant-solutions yield and gross margin. Additional cloud expense consumes 3% of incremental revenue, support/marketing 8%, and a transaction/credit-loss allowance 4%. Cloud enters cost of revenue; the remaining items enter operating expenses. There is no invented agent tariff or second sale of the same payment transaction. Q3's increment is zero because contemporaneous guidance already includes the then-visible progress. This is an overlap decision, not waiting for official confirmation.

Across the active F4Q window, the branch adds **$18.42 million of weighted operating profit**, approximately $0.29 per share at the existing multiple and modeled denominator. The larger valuation driver is the reference business. A two-percentage-point reduction in merchant gross margin across that window reduces the ceiling by about $5.38 per share before compensating action. Retained payment economics and cost discipline can outweigh an attractive channel headline.

Growth assumptions and addressable markets

Addressable commerce has several routes to monetization: existing merchants sell more, new merchants join, payments attachment rises, and enterprise, B2B, POS or new interfaces extend the platform's reach. The model does not multiply global retail sales by a hypothetical market share to obtain Shopify revenue. Sales can move between those routes without becoming new demand.

Q3 is calibrated to management's low-thirties revenue growth, mid-to-high-twenties gross-profit growth and 33-34% operating-expense guidance. It assumes $3.754 billion revenue, $1.774 billion gross profit and $516

million GAAP operating profit. Beyond guidance, reference GMV growth slows to 22-25% during 2027, 20-22% in 2028, 17-19% in 2029 and 14-16% in 2030. Subscription growth decelerates from 20% to 14%. These are analytical assumptions with lower confidence at longer horizons. [S1, S8]

Reference GMV reaches about $615 billion in 2027 and $1.013 trillion in 2030. Including the bounded agent branch, revenue rises from $19.005 billion to $31.474 billion and GAAP operating profit from $3.146 billion to $6.691 billion. These outcomes require merchant growth and operating leverage; they are not management commitments. The downside combines slower commerce growth and weaker merchant margins. The upside requires durable retention and profitable expansion, beyond more AI-attributed traffic.

Lending, cash flow and shareholder claims

Shopify Capital needs separate attention within merchant economics. At June 30, loans and merchant advances totaled $2.426 billion gross, with a $242 million allowance and $2.184 billion net carrying amount. Q2 credit provisions were $81 million and net charge-offs $59 million. Reported loan interest and fees were $91 million. This is not a complete Capital segment income statement: revenue and provisions cover different timing and scope, and other costs are not separately disclosed. Subtracting two headline figures does not establish the program's economic margin. [S2]

From April, merchant cash-advance flows moved to investing cash flow, aligning them with loans. A simple operating-cash-flow-minus-capex measure is therefore insufficient to determine cash available to shareholders. The loan book still requires funding. The model retains transaction and loan losses in operating expenses and does not treat financing originations as revenue. [S2]

June cash and current marketable securities were $4.947 billion, with no interest-bearing debt. Long-term investments, equity holdings and equity-method investments are distinct assets. Unrealized equity marks are excluded from recurring operating profit, and the pure 20x operating-profit convention does not add those holdings separately to the ceiling. [S2]

The share bridge starts with 1,286.643931 million economic Class A and B shares at July 31, plus a 2.720651 million diluted-share increment proxy. The Founder share is a control instrument, not another ordinary economic share class. Finite post-July buybacks total 13 million shares at an assumed $165 execution cost, or $2.145 billion. A $500 million authorization reserve covers unreported July activity, keeping the combined budget inside June's $3.067 billion authorization. July activity is not deducted from shares twice. Later net issuance resumes when that finite budget is used.

SBC remains a GAAP expense while the share schedule records dilution: these represent labor cost and ownership claims, respectively. The capital bridge is sensitive to execution price, vesting and new authorizations. The model does not assume future buybacks simply because the company has enough potential cash to fund them.

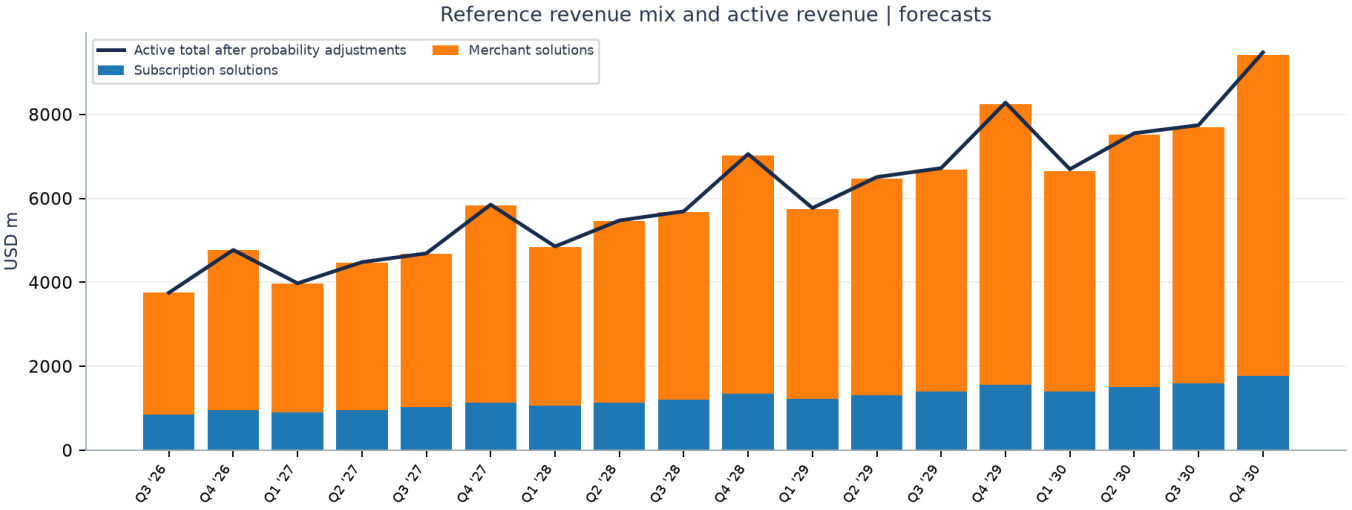
Evidence that would change the conclusion

The next checks are Q3 performance against guidance, holiday agent GMV with an absolute denominator, merchant retention and cohort yield, subscription AI costs, payments attachment, loan losses and the updated share count. The thesis weakens if traffic fails to produce new buyers, other platforms take more of the checkout economics, or margins decline faster than operating leverage can compensate. It strengthens if retention and profitable payment volume improve while agents generate genuinely new transactions at controlled cost. Those are measurable tests of the business behind the Watchlist score.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	Inventory, identity, checkout and merchant record switching costs; powerful infrastructure but no sole-source physical shortage.
Cycle	6	AI channel early while core already scaled.
TAM	8	Commerce infrastructure extends into POS/B2B/payments and agent surfaces; no robot/space TAM fiction.
Catalysts	4	Holiday2026 and Q3/Q4 results, agent attribution, enterprise launches.
Macro	8	Secular ecommerce, international penetration, business digitization; consumer/tariff cyclicality remains.
Alpha	2	Widely covered; advantage is net incremental economics rather than novelty of partnership.
Risk classes	-3	-1 competition/platform bargaining,-1 execution/credit-cycle and AI-cost sensitivity,-1 founder-control governance; no balance-sheet penalty and no assumed customer concentration penalty.
Total	41/60	Rounded Base 68. Both artifact and new workbook row use this score; this is not a manual override.

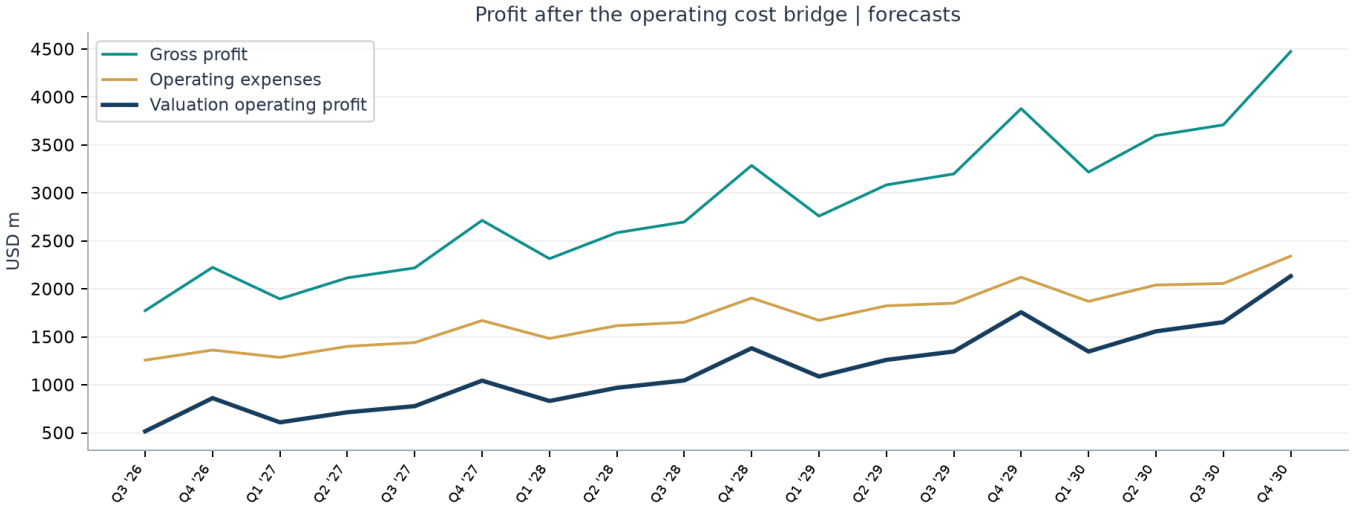
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	3,754.1	0.0	3,754.1
Q4 2026	4,769.9	2.8	4,772.6
Q1 2027	3,968.8	8.9	3,977.7
Q2 2027	4,472.7	10.1	4,482.9
Q3 2027	4,681.0	10.6	4,691.6
Q4 2027	5,838.9	13.6	5,852.5
Q1 2028	4,836.8	19.1	4,855.8
Q2 2028	5,453.5	21.8	5,475.3
Q3 2028	5,669.9	22.6	5,692.5
Q4 2028	7,030.3	28.7	7,059.0
Q1 2029	5,742.2	29.3	5,771.5
Q2 2029	6,476.6	33.5	6,510.1
Q3 2029	6,687.9	34.4	6,722.3
Q4 2029	8,239.1	43.4	8,282.5
Q1 2030	6,657.6	37.9	6,695.5
Q2 2030	7,510.8	43.4	7,554.2
Q3 2030	7,701.9	44.1	7,746.0
Q4 2030	9,423.5	55.2	9,478.7

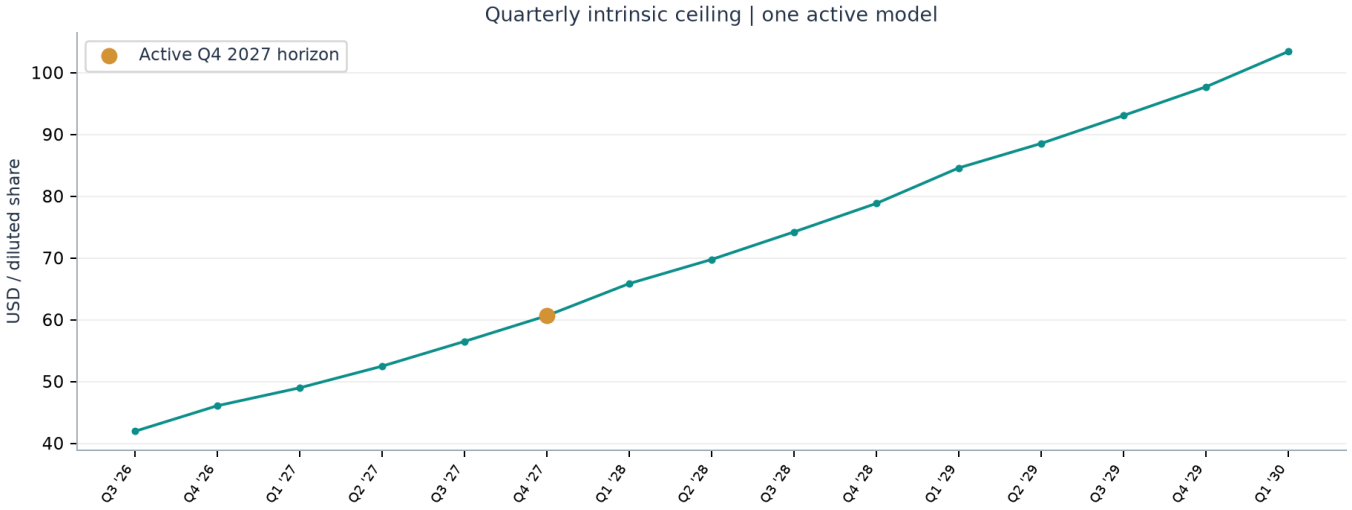
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	3,754.1	1,773.5	1,257.6	515.9	13.7%
Q4 2026	4,772.6	2,224.5	1,362.6	861.9	18.1%
Q1 2027	3,977.7	1,895.6	1,286.5	609.2	15.3%
Q2 2027	4,482.9	2,115.4	1,401.2	714.2	15.9%
Q3 2027	4,691.6	2,219.1	1,441.0	778.1	16.6%
Q4 2027	5,852.5	2,714.5	1,670.4	1,044.1	17.8%
Q1 2028	4,855.8	2,315.4	1,483.3	832.0	17.1%
Q2 2028	5,475.3	2,586.1	1,616.9	969.3	17.7%
Q3 2028	5,692.5	2,697.8	1,652.1	1,045.7	18.4%
Q4 2028	7,059.0	3,286.9	1,905.1	1,381.7	19.6%
Q1 2029	5,771.5	2,759.3	1,672.4	1,086.9	18.8%
Q2 2029	6,510.1	3,084.2	1,823.9	1,260.3	19.4%
Q3 2029	6,722.3	3,198.8	1,851.2	1,347.6	20.0%
Q4 2029	8,282.5	3,878.9	2,121.8	1,757.0	21.2%
Q1 2030	6,695.5	3,217.8	1,870.5	1,347.2	20.1%
Q2 2030	7,554.2	3,598.5	2,040.6	1,557.9	20.6%
Q3 2030	7,746.0	3,709.9	2,056.8	1,653.1	21.3%
Q4 2030	9,478.7	4,474.7	2,341.8	2,132.9	22.5%

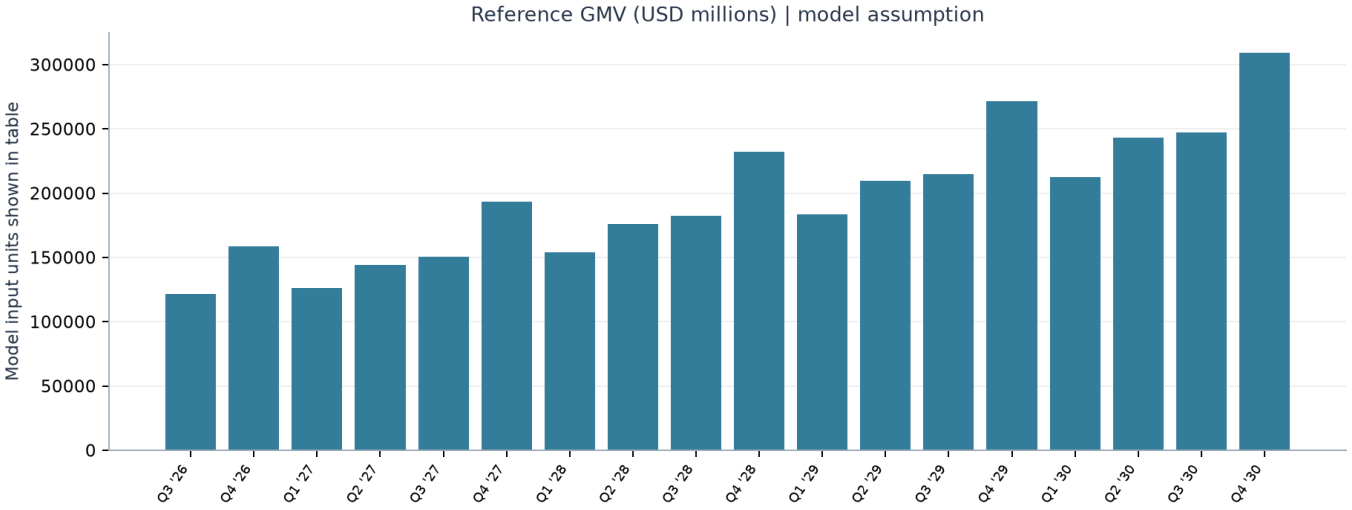
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	2,701.2	20x	1,288.165	41.94
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	2,963.3	20x	1,286.365	46.07
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	3,145.5	20x	1,284.565	48.97
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	3,368.4	20x	1,283.765	52.48
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	3,623.5	20x	1,282.965	56.49
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	3,891.2	20x	1,283.165	60.65
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	4,228.8	20x	1,284.365	65.85
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	4,483.6	20x	1,285.565	69.75
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	4,774.7	20x	1,286.765	74.21
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	5,076.5	20x	1,287.965	78.83
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	5,451.8	20x	1,289.165	84.58
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	5,712.1	20x	1,290.365	88.54
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	6,009.8	20x	1,291.565	93.06
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	6,315.2	20x	1,292.765	97.70
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	6,691.2	20x	1,293.965	103.42

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Reference GMV (USD millions)	Status
Q3 2026	121,500.000	guidance-calibrated assumption
Q4 2026	158,500.000	analyst assumption
Q1 2027	126,288.750	analyst assumption
Q2 2027	144,458.750	analyst assumption
Q3 2027	150,660.000	analyst assumption
Q4 2027	193,370.000	analyst assumption
Q1 2028	154,072.275	analyst assumption
Q2 2028	176,239.675	analyst assumption
Q3 2028	182,298.600	analyst assumption
Q4 2028	232,044.000	analyst assumption
Q1 2029	183,346.007	analyst assumption
Q2 2029	209,725.213	analyst assumption
Q3 2029	215,112.348	analyst assumption
Q4 2029	271,491.480	analyst assumption
Q1 2030	212,681.368	analyst assumption
Q2 2030	243,281.247	analyst assumption
Q3 2030	247,379.200	analyst assumption
Q4 2030	309,500.287	analyst assumption

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Subscription solutions	850.0	79.5%	675.8
Q3 2026	Merchant solutions	2,904.1	37.8%	1,097.8
Q4 2026	Subscription solutions	950.0	79.2%	752.9
Q4 2026	Merchant solutions	3,819.8	38.5%	1,470.6
Q1 2027	Subscription solutions	900.0	79.0%	711.0
Q1 2027	Merchant solutions	3,068.8	38.5%	1,181.5
Q2 2027	Subscription solutions	962.4	79.0%	760.3
Q2 2027	Merchant solutions	3,510.3	38.5%	1,351.5
Q3 2027	Subscription solutions	1,020.0	79.0%	805.8
Q3 2027	Merchant solutions	3,661.0	38.5%	1,409.5
Q4 2027	Subscription solutions	1,140.0	79.0%	900.6
Q4 2027	Merchant solutions	4,698.9	38.5%	1,809.1
Q1 2028	Subscription solutions	1,062.0	78.8%	836.3
Q1 2028	Merchant solutions	3,774.8	39.0%	1,472.2
Q2 2028	Subscription solutions	1,135.6	78.8%	894.3
Q2 2028	Merchant solutions	4,317.9	39.0%	1,684.0
Q3 2028	Subscription solutions	1,203.6	78.8%	947.8
Q3 2028	Merchant solutions	4,466.3	39.0%	1,741.9
Q4 2028	Subscription solutions	1,345.2	78.8%	1,059.3
Q4 2028	Merchant solutions	5,685.1	39.0%	2,217.2
Q1 2029	Subscription solutions	1,231.9	78.5%	967.1
Q1 2029	Merchant solutions	4,510.3	39.5%	1,781.6
Q2 2029	Subscription solutions	1,317.3	78.5%	1,034.1
Q2 2029	Merchant solutions	5,159.2	39.5%	2,037.9
Q3 2029	Subscription solutions	1,396.2	78.5%	1,096.0
Q3 2029	Merchant solutions	5,291.8	39.5%	2,090.2
Q4 2029	Subscription solutions	1,560.4	78.5%	1,224.9
Q4 2029	Merchant solutions	6,678.7	39.5%	2,638.1
Q1 2030	Subscription solutions	1,404.4	78.5%	1,102.4
Q1 2030	Merchant solutions	5,253.2	40.0%	2,101.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Subscription solutions	1,501.8	78.5%	1,178.9
Q2 2030	Merchant solutions	6,009.0	40.0%	2,403.6
Q3 2030	Subscription solutions	1,591.6	78.5%	1,249.4
Q3 2030	Merchant solutions	6,110.3	40.0%	2,444.1
Q4 2030	Subscription solutions	1,778.9	78.5%	1,396.4
Q4 2030	Merchant solutions	7,644.7	40.0%	3,057.9

Operating-cost derivation

Quarter	Sales / marketing	R&D	Administration	Transaction / loan losses
Q3 2026	514.3	446.7	135.1	161.4
Q4 2026	558.1	480.8	137.4	186.0
Q1 2027	544.8	449.9	128.0	162.7
Q2 2027	590.4	487.5	138.7	183.4
Q3 2027	605.5	500.0	142.2	191.9
Q4 2027	693.7	572.8	162.9	239.4
Q1 2028	638.8	503.0	140.8	198.3
Q2 2028	692.6	545.4	152.7	223.6
Q3 2028	705.7	555.7	155.6	232.5
Q4 2028	803.6	632.7	177.2	288.2
Q1 2029	728.6	555.4	155.3	229.7
Q2 2029	790.1	602.3	168.4	259.1
Q3 2029	799.6	609.5	170.4	267.5
Q4 2029	904.7	689.6	192.8	329.6
Q1 2030	817.0	616.2	173.1	259.6
Q2 2030	886.3	668.5	187.8	292.9
Q3 2030	890.6	671.8	188.7	300.4
Q4 2030	1,000.8	754.8	212.0	367.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	Agent orders	55%	0.0	0.0	0.0	0.0
Q4 2026	Agent orders	55%	5.0	1.8	0.6	0.6
Q1 2027	Agent orders	55%	16.1	5.7	1.9	2.1
Q2 2027	Agent orders	55%	18.4	6.5	2.2	2.4
Q3 2027	Agent orders	55%	19.2	6.8	2.3	2.5
Q4 2027	Agent orders	55%	24.7	8.8	3.0	3.2
Q1 2028	Agent orders	55%	34.7	12.5	4.2	4.6
Q2 2028	Agent orders	55%	39.7	14.3	4.8	5.2
Q3 2028	Agent orders	55%	41.0	14.8	4.9	5.4
Q4 2028	Agent orders	55%	52.2	18.8	6.3	6.9
Q1 2029	Agent orders	55%	53.3	19.4	6.4	7.2
Q2 2029	Agent orders	55%	60.9	22.2	7.3	8.2
Q3 2029	Agent orders	55%	62.5	22.8	7.5	8.4
Q4 2029	Agent orders	55%	78.9	28.8	9.5	10.6
Q1 2030	Agent orders	55%	68.9	25.5	8.3	9.5
Q2 2030	Agent orders	55%	78.9	29.2	9.5	10.8
Q3 2030	Agent orders	55%	80.2	29.7	9.6	11.0
Q4 2030	Agent orders	55%	100.3	37.1	12.0	13.8

Claim decisions, overlap and triggers

agent-checkout

sources: S4 S5 S7

fact: Agent surfaces preserve ordinary Shopify checkout economics; company provides discovery/catalog/checkout infrastructure. Agent order share is still small, not disclosed numerically.

decision: Nonzero probability-weighted incremental GMV, no new fee premium.

probability: 0.55

Conditional bounds: Incremental agent routed share over reference 0-4 percentage points; 20-50% of these orders truly incremental. Active midpoint uses 35% and another25% overlap with merchant acquisition/cohort growth.

cost bridge: merchant segment GM after payment/processing, then3% of incremental revenue cloud,8% marketing/support,4% credit/transaction losses.

overlap: Reference revenue already grows from merchant additions, same-store sales, payments attach and AI products. Only residual agent volume above reference counted; Q3 increment zero because guided quarter already contains current progress.

sidekick

sources: S3 S4 S5

fact: Merchant AI usage expands; merchant-serving LLM costs primarily in subscription COGS.

decision: Reference subscription GM declines79.5% toward78.5%, and R&D dollars rise. No separate cost-saving uplift on top of operating leverage.

probability: 0.65

Conditional bounds: Subscription GM77-81%, R&D/revenue9-12% medium term, rather than a second free AI margin benefit.

payment-attach

sources: S2 S3 S5

fact: Q2 GPV78.1B, rounded68% of GMV.

decision: Merchant revenue/GMV rises2.41% toward2.47% with payments/services mix; this is aggregate monetization, not disclosed payment take rate.

probability: 0.65

Conditional bounds: 2027 merchant revenue/GMV2.30-2.50%, active2.43%; merchant GM36-40%, active38.5%.

overlap: All payments/Capital/partner-share upside inside aggregate merchant yield and GM; no independent TAM addition.

credit-capital

sources: S1 S2

fact: Loan and cash-advance book2.184B net; reclassification improves reported operating cash flow presentation without creating cash.

decision: Loss expense remains3.9-4.1% of revenue; credit-book cash funding must remain separate from FCF buyback capacity.

counter: Expansion may consume cash and raise loss expense despite apparently asset-light SaaS.

AI-disintermediation

sources: S6

fact: Annual filing identifies larger platform access restrictions, competitors and merchant self-build including AI.

decision: No guaranteed monopoly or exclusive Muse economics assumed.

Conditional bounds: Agent revenue negative if channels route orders away or require higher acquisition spending. F4Q merchant-GM minus2ppt costs roughly2% of merchant revenue before tax, much larger than modeled agent increment.

Remaining bounded uncertainties

- No absolute agent GMV share, incremental order experiment or dedicated agent P&L disclosed; estimates are bounded analytical proxies.

- Fine payment fee/margin and Capital unit economics are not separately disclosed; do not portray aggregate merchant yield as payment fee.

- No official2027-30 guide. Future shares are model assumptions with buyback execution-price sensitivity.

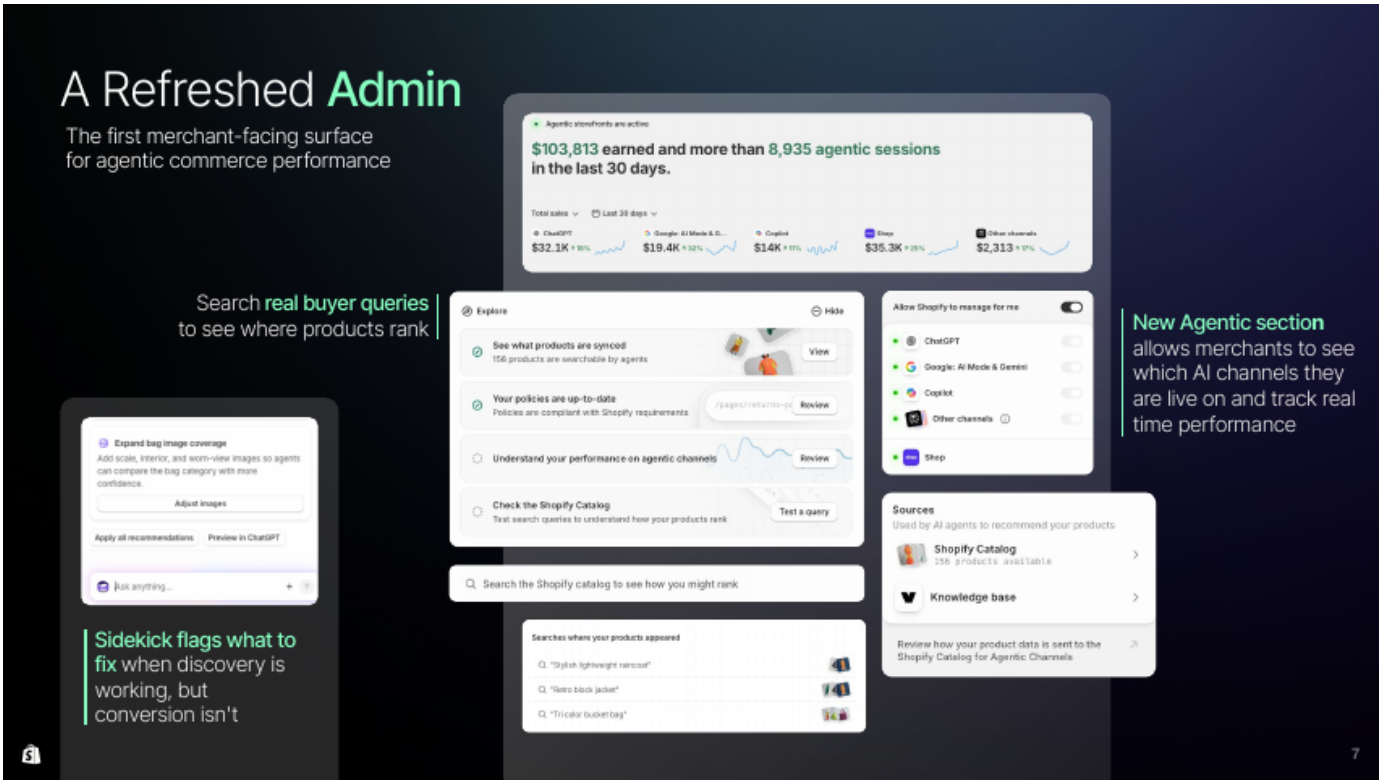
- Issuer GCS binary inaccessible; originals preserved from a public Quartr mirror with source link and hash. Core figures crosschecked against issuer release and original SEC text.

- Public transcript is a transcription of management, not analyst research; only management statements used.

Selected original evidence

Source exhibit 1

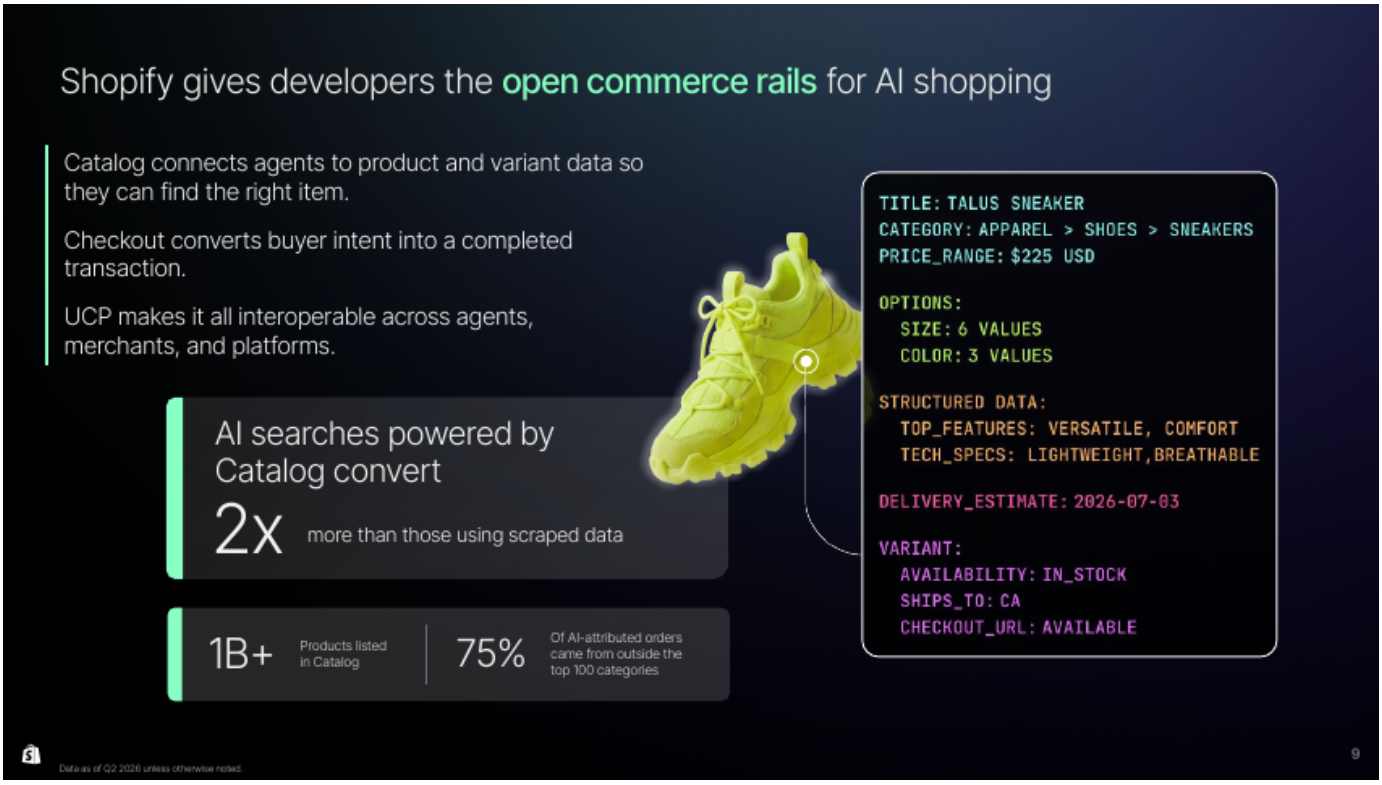
S3 | Issuer agentic storefront admin: attribution and channel status, not contracted revenue.



Issuer agentic storefront admin: attribution and channel status, not contracted revenue. Original units and footnotes apply.

Source exhibit 2

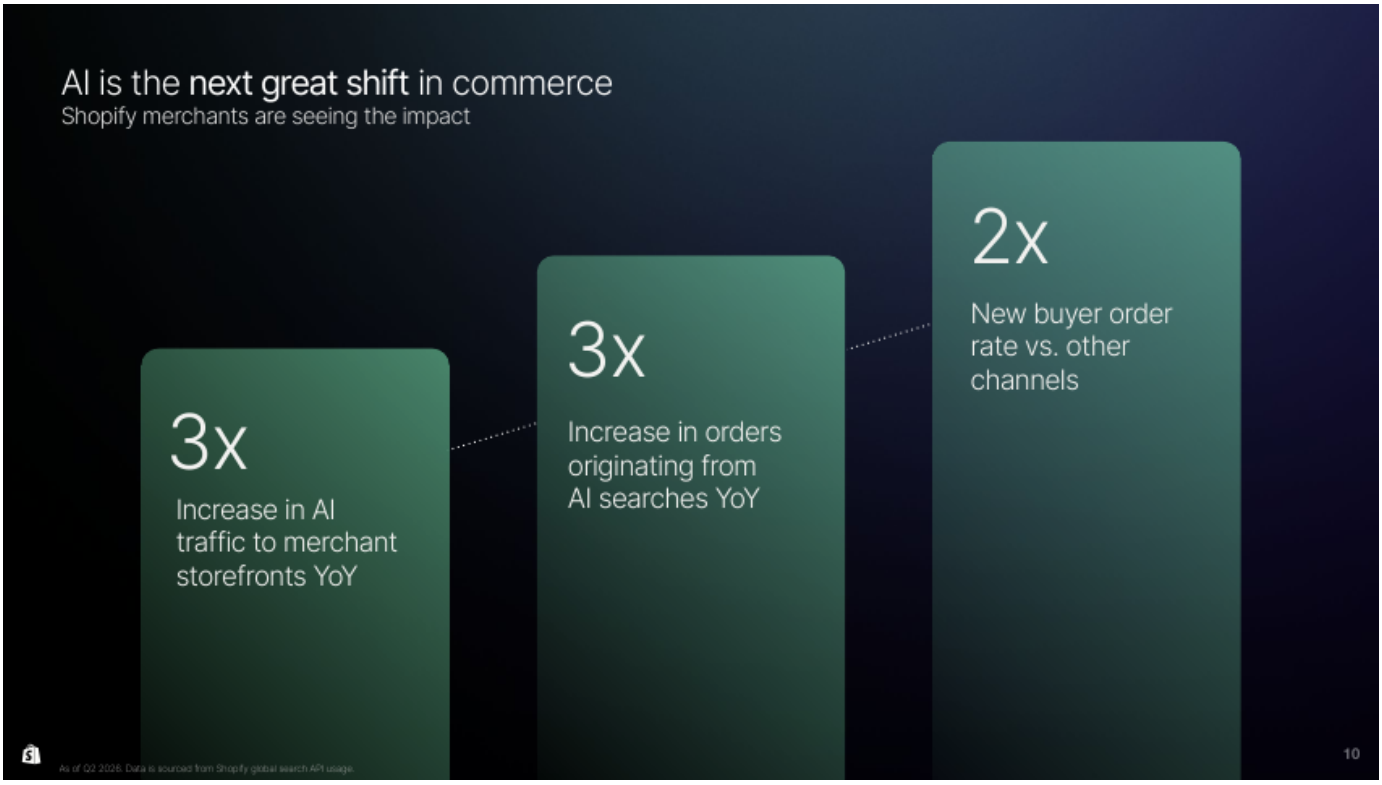
S3 | Catalog and checkout infrastructure; company conversion comparisons, not causal platform GMV uplift.



Catalog and checkout infrastructure; company conversion comparisons, not causal platform GMV uplift. Original units and footnotes apply.

Source exhibit 3

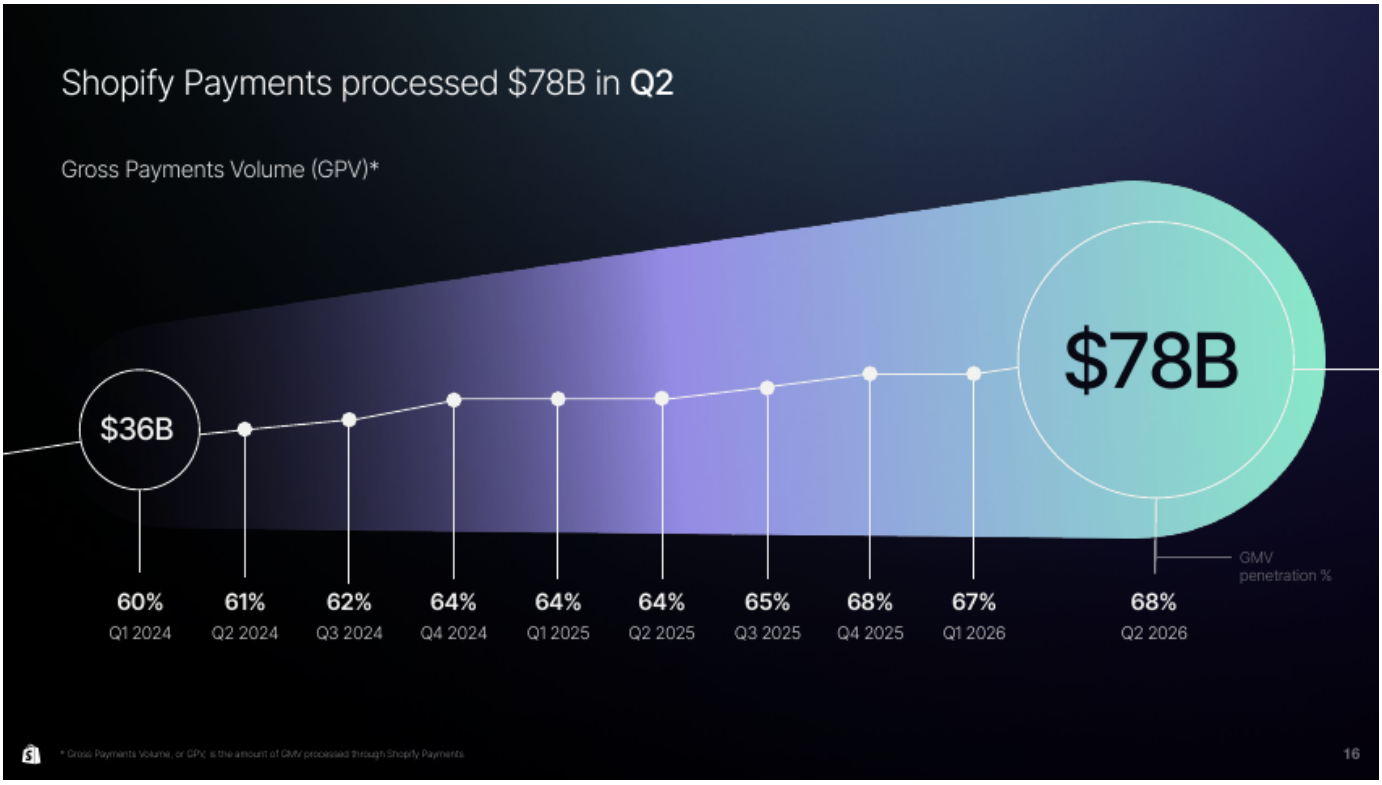
S3 | Issuer reports3x AI traffic/orders growth and2x new-buyer rate from a small undisclosed share.



Issuer reports3x AI traffic/orders growth and2x new-buyer rate from a small undisclosed share. Original units and footnotes apply.

Source exhibit 4

S3 | Shopify Payments GPV and penetration; GPV is not revenue.



Shopify Payments GPV and penetration; GPV is not revenue. Original units and footnotes apply.

Source exhibit 5

S3 | Subscription revenue composition; vector mix supports separate margins.



Subscription revenue composition; vector mix supports separate margins. Original units and footnotes apply.

Source exhibit 6

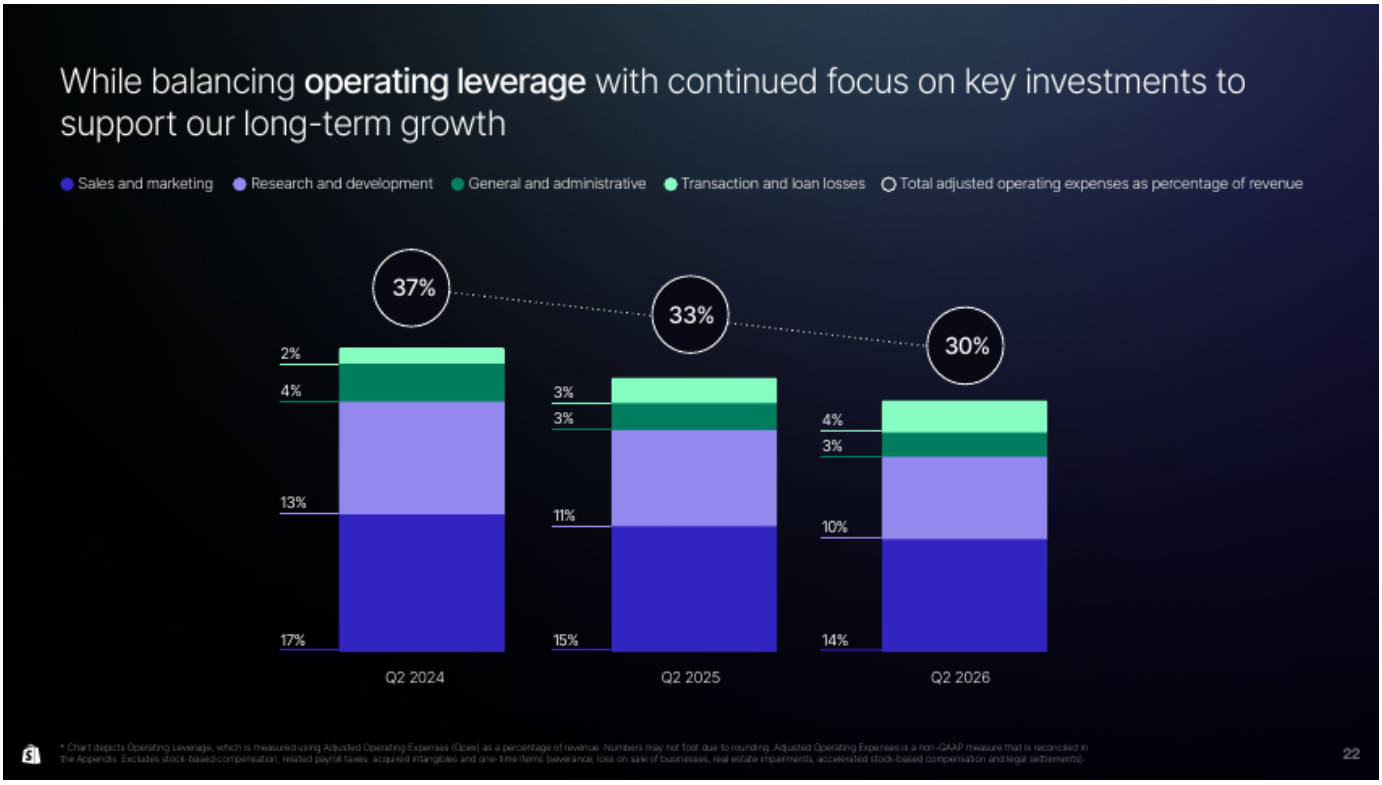
S3 | Gross profit growth, distinct from total revenue and operating profit.



Gross profit growth, distinct from total revenue and operating profit. Original units and footnotes apply.

Source exhibit 7

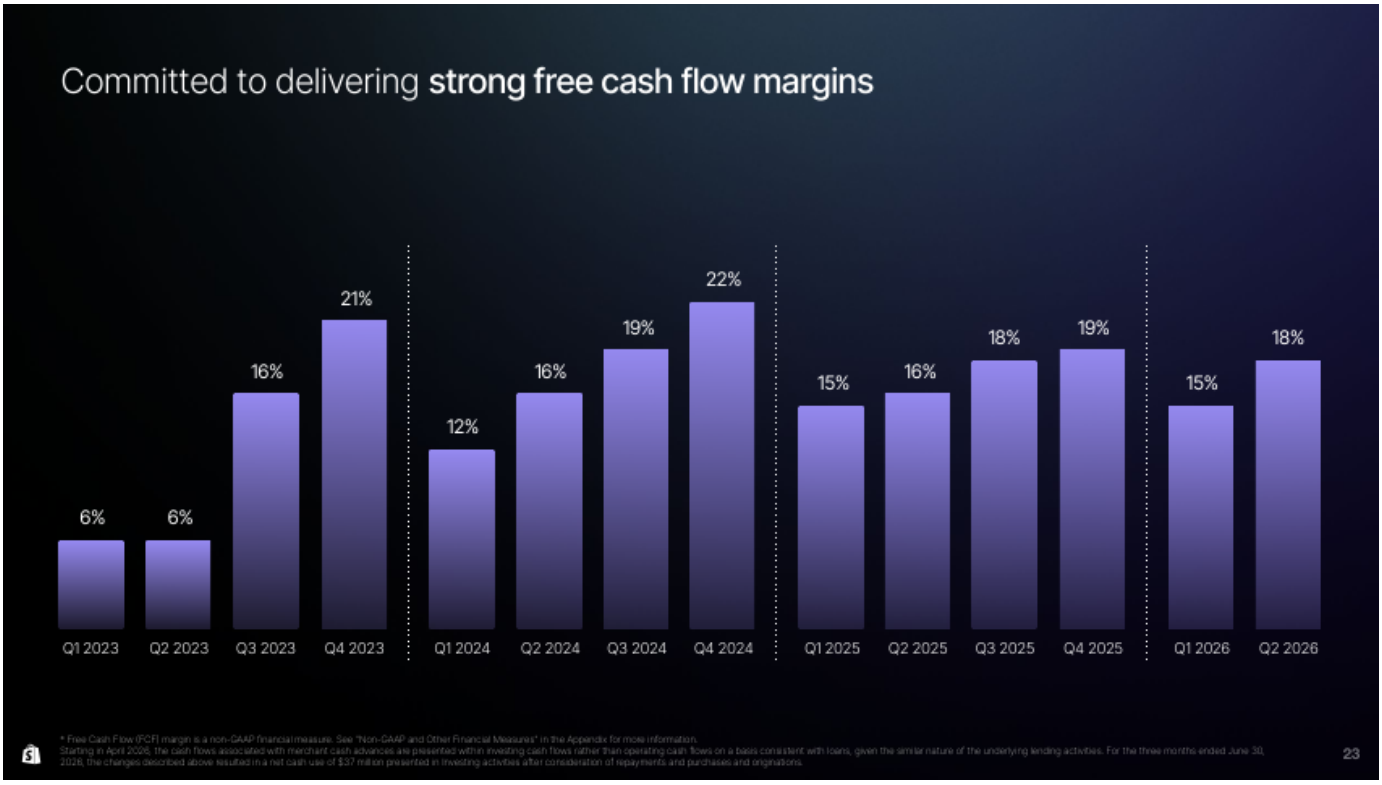
S3 | Issuer adjusted operating-expense chart; model uses GAAP costs inclusive of SBC.



Issuer adjusted operating-expense chart; model uses GAAP costs inclusive of SBC. Original units and footnotes apply.

Source exhibit 8

S3 | FCF history; April2026 cash-advance reclassification requires care.



FCF history; April2026 cash-advance reclassification requires care. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] issuer financial release | 2026-08-05

https://www.shopify.com/investors/press-releases/shopify-delivers-big-30-growth-across-gmv-revenue-gross-profit

Archived source SHA-256: b40a799ff92c9fcb319faa8b5629b8bcff4632f832ae86c1ba4faf826def94aa

[2] issuer 10-Q, public Quartr mirror | 2026-08-05

https://shopifyinvestors.gcs-web.com/static-files/56ccd228-a0a7-4c9d-8041-273cb0041d45

Archived source SHA-256: 70eb2fb2bd1048fc04251c4126b1ef8c08ffdb185f24ef64577c9022dce85152

[3] issuer deck, public Quartr mirror | 2026-08-05

https://shopifyinvestors.gcs-web.com/static-files/70766772-a69c-4361-9d43-ce4729f27a96

Archived source SHA-256: 2b6e15b5b61fc8b1c9e62f5b4300affbd51d6c6440ba0c239869ac5d41700da7

[4] management spoken primary record, third-party transcription | 2026-05-05

https://stockanalysis.com/stocks/shop/transcripts/555081-q1-2026/

Archived source SHA-256: a90f419eb30bdaf952129410ba134173910c7bc763d8321eac9596797e557c5d

[5] management spoken primary record, third-party transcription | 2026-08-05

https://stockanalysis.com/stocks/shop/transcripts/660732-q2-2026/

Archived source SHA-256: 8964686321ff40ab6e19f2403545a18865b0b8566cf60016c258a1d10a8ea77c

[6] issuer FY2025 10-K | 2026-02-11

https://www.sec.gov/Archives/edgar/data/1594805/000159480526000007/shop-20251231.htm

[7] issuer selected merchant cases/survey, not platform forecast | 2026-10-06

https://www.shopify.com/news/agentic-holiday-2026

[8] issuer quarterly financial supplement | 2026-08-05

https://shopifyinvestors.gcs-web.com/static-files/8617cb05-2517-47f8-a00e-a1faa33cbadf

Model formulas: reference GP sums product revenue x GM; reference OP deducts specified costs. Each conditional revenue/GP/cost delta is multiplied by its probability once. The ceiling uses the sum of four consecutive quarterly valuation operating profits x the stated multiple / diluted shares at the starting quarter. Net cash, debt and minority claims follow the company-specific method explanation.